ANTI-MONEY LAUNDERING · 2026 EDITION

An AML program every decision can be replayed.

Process and governance gaps outnumber data and model gaps roughly 2:1 in every recent consent order. The cost of being unable to evidence a decision is now larger than the cost of missing one.

PREPARED FOR **CCO · MLRO · AUDIT COMMITTEE**

Source: FCA Dear-CEO Letter (Mar 2024) · FinCEN TD Bank consent order (Oct 2024) · LexisNexis True Cost of Compliance (Feb 2024)

Process and governance gaps account for ~2:1 of every consent-order finding — not detection failures.

Five of the largest 2024–25 enforcement actions surveyed (TD, RBC, Wells Fargo, NatWest, Citibank). Regulators rarely allege the bank missed a typology. They allege the bank cannot evidence what it did.

> *"Decisions made in relation to financial crime were not supported by evidence or an audit trail of debate and challenge."*
>
> **FCA DEAR-CEO LETTER TO ANNEX 1 FIRMS** · MARCH 2024 · STILL OPERATIVE IN 2026

KEY TAKEAWAY Lead with proof, not detection. The single highest-leverage place to spend a compliance dollar in 2026 is on *provability*.

Source: Synthesis of TD Bank, RBC, Wells Fargo, NatWest, Citibank consent orders 2024–25 · FCA Dear-CEO 2024 · K&L Gates 2024 BSA review

The bill arrives in three sizes — and the largest is still growing.

A single record-breaking penalty in 2024, an industry-wide annual run-rate, and a daily-process tax — the same dollars that buy detection also buy poor evidence and poor signal.

SINGLE-BANK PENALTY · 2024

$3.09B

TD Bank's Oct 2024 plea — the largest BSA enforcement action in history. Includes a U.S. asset cap (~$434B), only the 2nd ever on a major bank.

FinCEN · DOJ · OCC consent order

ANNUAL INDUSTRY SPEND · US + CA

$61B

Annual cost of financial-crime compliance. The CCO's recurring board question — *"is the juice worth the squeeze?"* — is now FinCEN's literal RFI title.

LexisNexis Risk Solutions Feb 2024 · FinCEN Sep 2025 RFI

INDUSTRY FALSE-POSITIVE BASELINE

95%

Of every 100 alerts, 95 close as legitimate. Analyst attention is the scarce resource — and most of it is spent on noise, not signal.

Flagright industry analysis · NICE Actimize 2026

KEY TAKEAWAY The visible cost is the fine. The invisible cost is the analyst hour spent on the 95th false positive — every day, every quarter, every year.

Source: FinCEN release Oct 2024 · LexisNexis True Cost of FCC Feb 2024 · FinCEN AML-cost RFI Sep 2025 · Flagright TM industry analysis

The diagnosis is in the language: four sentences a CCO says before the regulator does.

Quoted verbatim from public regulator letters and consent orders — none paraphrased. Every line below is something a Chief Compliance Officer or regulator has put on the record between 2024 and 2026.

PAIN-1 · AUDIT-DEFENSIBILITY

"Decisions made in relation to financial crime were not supported by evidence or an audit trail of debate and challenge."

FCA · Dear-CEO Letter to Annex 1 firms · Mar 2024

PAIN-2 · BACKLOG VISIBILITY

"Trillions of dollars in transactions annually went unmonitored... the AIU detection queue was in red status for years."

FinCEN · TD Bank consent order · Oct 2024 ($3.09B)

PAIN-6 · MODEL VALIDATION

"Transaction monitoring systems... meet the definition of 'model' and are held to the same standard."

ACAMS / 2021 Interagency Statement · still cited 2026

PAIN-8 · ROI

"Is the juice worth the squeeze?"

FinCEN · AML-Compliance-Cost RFI literal subject line · Sep 2025

Source: All quotes verbatim from cited regulator publications · full pain-point research at *docs/research/2026-04-aml-process-pain.md*

One specification serves three reviewers — without re-translation.

A single machine-readable file is authored by Compliance, executed unchanged by Engineering, and replayed byte-for-byte by an Auditor. Three different readings of the same artifact — every quarter, every regulator visit.

SOURCE OF TRUTH

aml.yaml

written once · committed to version control

FIRST LINE · COMPLIANCE

The risk policy in machine-readable form, in our own language.

"Our scenarios, our thresholds, every line cited to a regulation."

ENGINEERING

The schema we build from. The data the engine consumes.

"Compiles deterministically — same spec, same data, same answer."

AUDITOR · 2LOD

The artifact I can replay any quarter, byte-for-byte.

"When the regulator asks 'who decided?' — the answer is in the file."

KEY TAKEAWAY Eliminating the translation layer between three lines of defence removes the most-cited finding in 2024–26 consent orders: *"controls existed; the bank could not evidence they were used."*

Source: AML Open Framework specification model · primary-source quotes from FCA Dear-CEO 2024 + K&L Gates 2024 BSA review

Each pain has a single, evidenced answer — one file away.

Direct mapping from public-record regulator findings to specific framework capabilities. No black box, no vendor add-ons.

	LEADER'S PAIN (REGULATOR-CITED)		FRAMEWORK CAPABILITY (WHAT CHANGES)
1	*"We can't prove what we did."*	→	**Hash-chained** decisions.jsonl + deterministic replay. Any historical run reproducible byte-for-byte.
2	*"The backlog has been red on the board for years."*	→	**SLA timer + escalation engine.** Red queues become loud, not slide-decoration. Per-queue breach-rate badges visible to the board.
3	*"Our risk assessment is a PDF nobody trusts."*	→	**The spec IS the risk assessment** — machine-readable, cited line-by-line. *Framework Alignment* dashboard renders the live BRA from the spec.
4	*"My monitoring system is a model and I cannot validate it."*	→	**Per-rule MRM dossier + 4-quarter backtester.** "Is rule X still earning its keep?" answered before lunch — no vendor study.

Source: Pain points 1, 2, 4, 6 from *docs/research/2026-04-aml-process-pain.md* · capability mapping in framework README + audit-evidence.md

The framework arrives built, not blueprinted.

Open-source · runs in your perimeter · no per-seat licence · every rule cites a regulation · re-runs deterministically.

8

CURATED TYPOLOGIES

Every line cited to a regulator publication. Day-one detection.

4

ACTIVE JURISDICTIONS

US (FinCEN) · CA (FINTRAC) · UK (FCA) · EU (EBA). FATF Travel Rule.

26

DASHBOARD PAGES

Persona-aware. Sidebar filters by role — CCO sees board signal, analyst sees queue.

9

REFERENCE SPECS

Schedule-I bank · community bank · VASP · cyber-fraud · trade-based ML · …

1,632

TESTS · ALL GREEN

5 CI jobs per pull request. Lint, unit, API, e2e dashboard, docker.

SHA-256

AUDIT CHAIN

Hash-chained decision log. Tampering breaks attestation, by construction.

MIT

LICENCE

Apache 2.0 / MIT compatible. Forkable. Runs entirely in your perimeter.

$0

PER-SEAT FEES

No vendor licence renewals. Effectiveness pack quantifies what you spent.

Source: Live counts from *main* branch as of 2026-04-29 · github.com/tomqwu/aml_open_framework

THREE PATHS FROM HERE

The next step takes five minutes.

READ · 15 MIN

Show me the research.

Open the 10-pain-point doc with primary citations and the TD 2024 case study. Frame is unbranded.

TRY · 5 MIN

Run it on my desk.

Clone, install, run a real audit pack against the canonical spec. No vendor demo cycle.

TALK · 30 MIN

Walk me through it.

Bring your spec or pain — pull-request a typology, open a Discussion, or tag the maintainer.

OPEN SOURCE · MIT

github.com/tomqwu/aml_open_framework

Source: AML Open Framework · primary-source research grounded in FCA / FinCEN / OSFI / FINTRAC public record